

Chapter Six

6. Business Models & Capturing Value

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Chapter Outlines

1. What's a Business Model?
2. Why Use Business Models?
3. Business Model Innovation
4. Generic and Specific Business Models
5. Building a Business Model

6.1 What's a Business Model?

□ *Business model* is an explanation of how value is created for customers, and making it clear can help us focus on how we can capture this in innovation. *For example.*

➤ A theatre uses scripts, actors, lighting and music to create a theatrical experience which the audience values.

❑ Every organization, *public or private sector*, offers some kind of value proposition – a product or service or some combination which end users value.

➤ In commercial markets this is something they are prepared to pay for, but in other contexts, such as the public sector, services like education, welfare and healthcare are similarly ‘valued’ by those who consume them.

☐ Peter Drucker states that a reliable business model should be able to answer this questions:

1. Who are the company's customers?

2. How important is the customer to the company?

3. How management is able to generate profits for the company? Or

4. What underlies management decides when and how to add value to customers?

6.2 Why Use Business Models?

- The purpose of a business model is to provide a clear representation of where and how value is created and can be captured. That's useful for a number of reasons:
 - ✓ It provides a roadmap for how an innovation can create value. It won't just happen; it needs a framework.

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- ✓ It provides a way of sharing the idea with others, making the business vision statement.
 - ✓ It offers a helpful checklist of areas to consider in making sure the idea and the way to creating value with it is well thought out.

6.3 What's in a Business Model?

- Value creation doesn't just happen. It is the result of a structured process which involves:
- ✓ A value proposition – what is valued?
- ✓ A target market – by whom?
- ✓ A supplier – who?
- ✓ A set of activities – how?
- ✓ A representation of the value – how much?

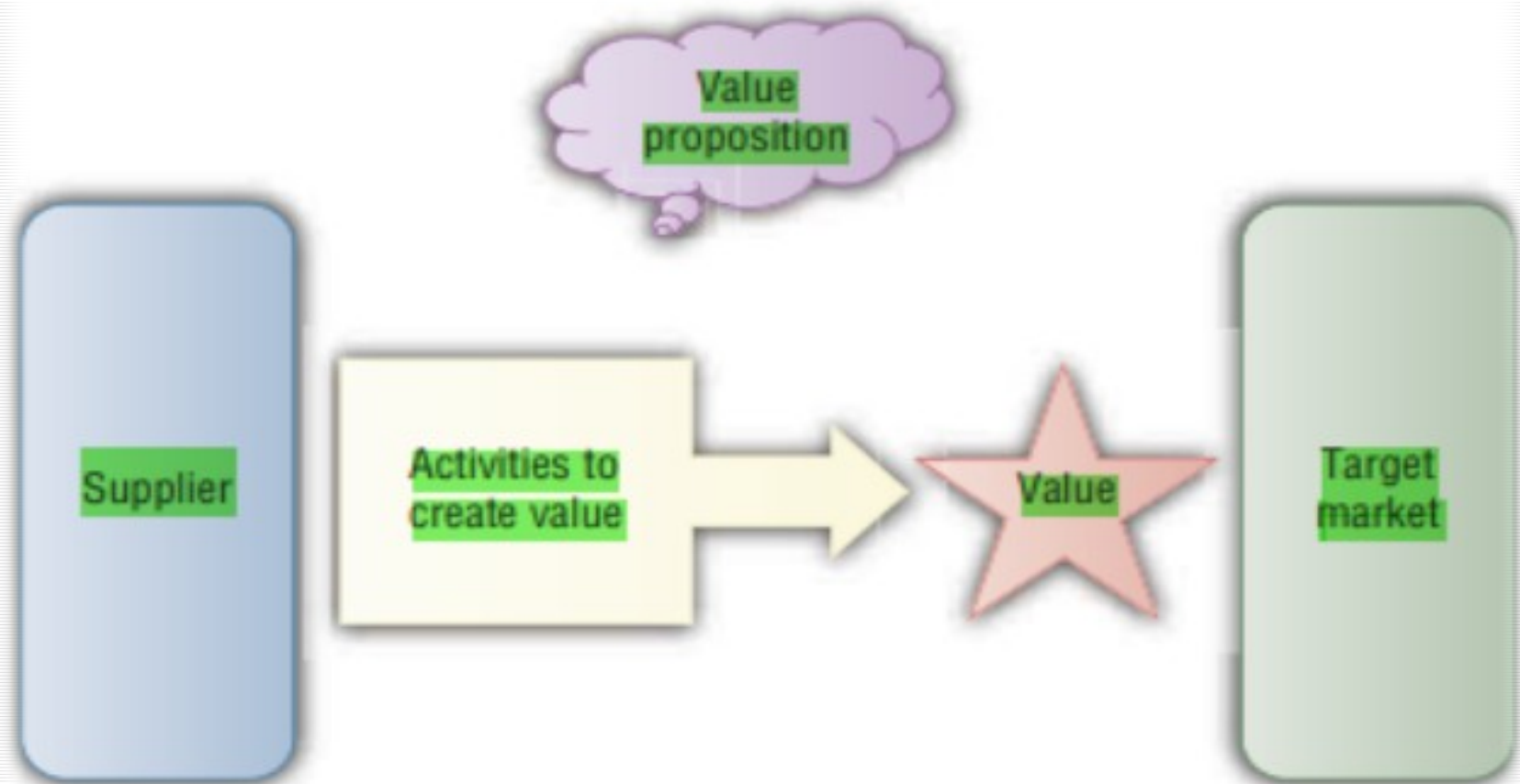


Figure 6.1 Outline framework for a business model

Table 6.1 Examples of business models

Example	Value proposition?	For whom?	By whom (key players on supply side)?	Core activities to deliver that value
Razor blades	Shaving with a fresh sharp blade every time instead of having to sharpen a razor	Men (and later women)	Manufacturers like Gillette	Design and development Manufacture and distribution of blades, advertising and marketing, etc.
Online banking	24/7 bank opening and ability to operate independent of physical banking offices	Customers unable or unwilling to use 'normal' banking hours but who appreciate the convenience. Eventually all customers – becomes the dominant model	IT platforms, call center staff other customer interfaces Back-office systems and providers	Customer service and relationship management

6.4 Business Model Innovation

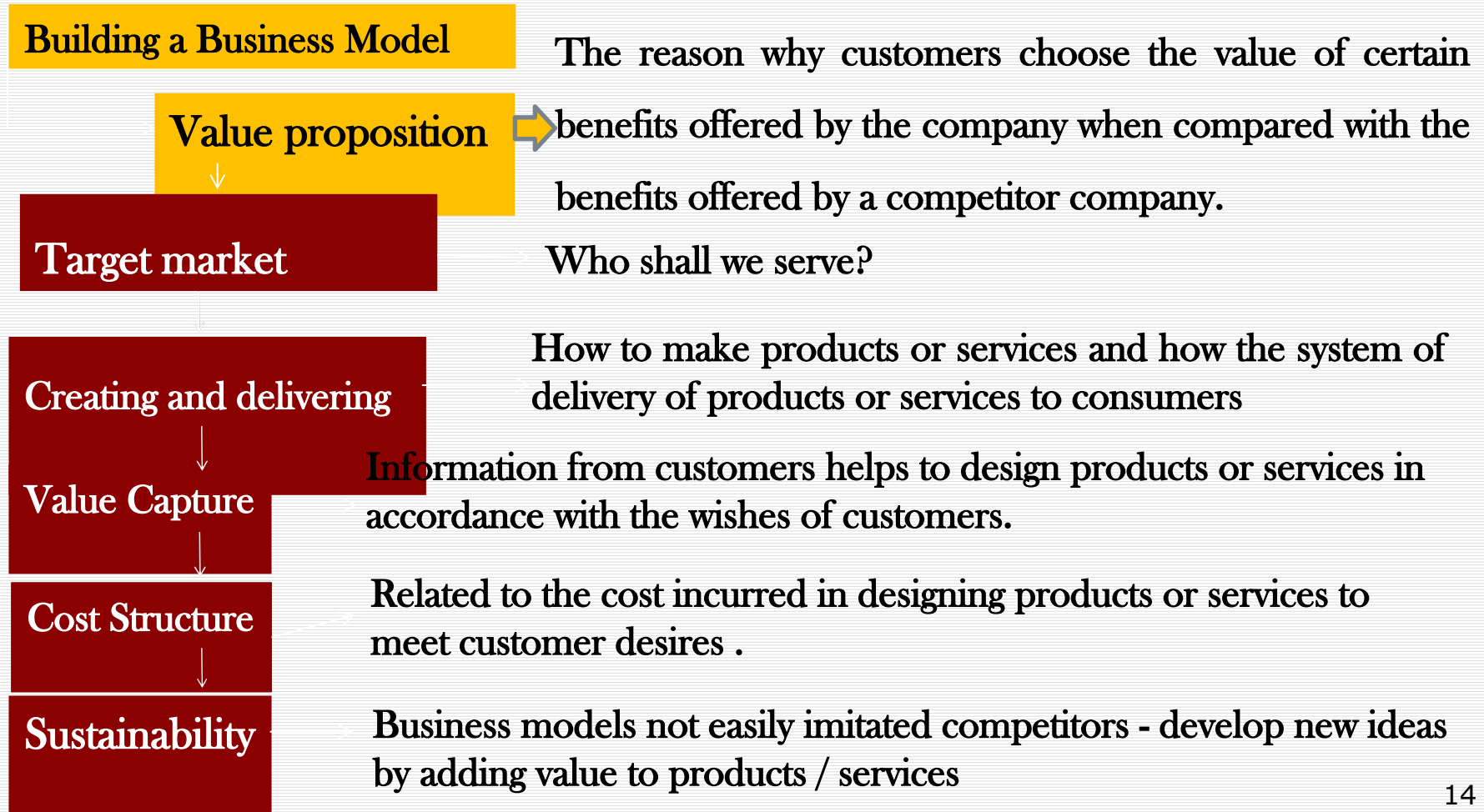
- ❑ Business model innovation is about creating new models or changing existing ones to maximize the value created and return it to the organization which created it – capturing value.
- ✓ Example, a pharmaceutical company spends around 20% of its sales on R&D, funding extensive laboratories and facilities to create new drugs.

Table 6.2 Examples of the Internet as a route to business model innovation

Old model	Internet-enabled alternative
Airline and travel booking	Disintermediation – DIY or else via online aggregator
Encyclopaedia- expert driven	Wikipedia and open-source options
Printing and publishing – physical networks and specialist	Online coordination, self-publishing, long tail, print on demand
Retailing – physical presence via shops, distribution centers, etc.	Amazon and online, long tail effect, database mining, etc.

6.4 Building a Business Model

- ❑ Building a business model is not easy as we determine the product or service to sell. Building a business model means mapping how we can deliver valuable goods or services to consumers.





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